in 2001 and 2002." Now, we merely need to substitute the years 2005 through 2007 and 2008–2009 into the same sentence. As the old adage goes, the more things change the more they stay the same. And once again we find ourselves in a low-return environment. Like then, advisors are still being peppered with the vexing questions from their clients:

"Why is this fund not up as much as that fund?"

"The market has not done well the past quarter—what should we do?"

"Why is asset allocation so important?"

"Why are we investing in alternative investments?"

"Why aren't we investing in alternative investments?"

"Why don't we take the same approach to investing in college money and retirement money?"

"Why don't we buy fewer stocks so we can get better returns?"

Advisors need a handbook that can help them deal with the behavioral and emotional sides of investing, so that they can help their clients understand why they have trouble sticking to a long-term program of investing.

WHY THIS BOOK?

The first edition of the book was conceived only after many hours, weeks, and years of researching, studying, and applying behavioral finance concepts to real-world investment situations. When I began taking an interest in how portfolios might be adjusted for behavioral biases back in the late 1990s, when the technology bubble was in full force, I sought a book like this one but couldn't find one. I did not set a goal of writing a book at that time; I merely took an interest in the subject and began reading. It wasn't until my wife, who was going through a job transition, came home one night talking about the Myers-Briggs personality type test she took that I began to consider the idea of writing about behavioral finance. My thought process at the time was relatively simple: Doesn't it make sense that people of differing personality types would want to invest differently? I couldn't find any literature on this topic. So, with the help of a colleague on the private wealth committee at NYSSA (the New York Society of Securities Analysts—the local CFA chapter), John Longo, PhD, I began my quest to write on the practical application of behavioral finance. Our paper, entitled "A New Paradigm for Practical Application of Behavioral Finance: Correlating Personality Type and Gender with Established Behavioral Biases," was